

Primary Auction Note – October 2020

In October, Central Bank of Kenya is re-opening fixed bonds: **FXD1/2011/20-(10.6Yrs)** and **FXD1/2018/25-(22.7Yrs)** in a bid to raise **KES 50 Billion**. The period of sale runs from **28/09/2020** to **13/10/2020**. The coupon rate is **10.00%** and **13.40%** respectively. The bonds attract a withholding tax of **10%** each.

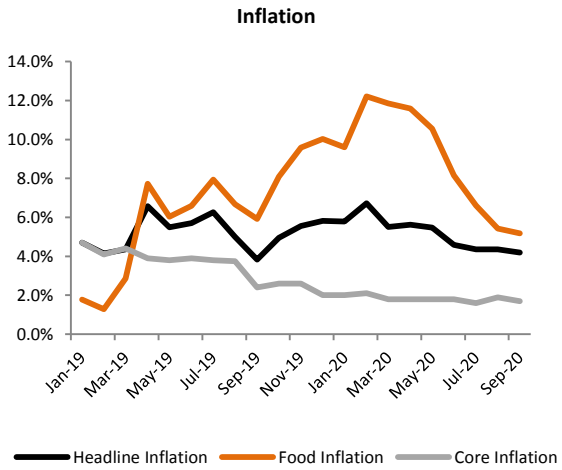
Investors' focus remains on the short end of the yield curve: In the current market environment where investor uncertainty remains elevated and high liquidity in the money market, investors are likely to focus on the shorter end of the yield curve.

We advise investors to bid within the range of **11.95%** to **12.10%** and **13.40%** to **13.60%** for the FXD1/2011/20 and FXD1/2018/25 respectively as we expect moderate demand for the papers.

Secondary Bond Market:

In September, the secondary market activity increased. Turnover in September, reversed upwards by 23.8% to KES 83.51Bn ($787.89Mn) from KES 67.43Bn ($ 621.30Mn) witnessed in August.

September Inflation:



In September, Headline Inflation increased to **4.20%** from **4.36%** in August. The CPI remained at **108.57**. This decrease occurred on the back of a drop in the housing, water, electricity, gas & other fuels and transport; information and communication indices which decreased by **0.05%** and **0.01%** respectively.

Headline inflation is expected to remain stable on the back of low food prices. Food supply is likely to increase due to the relaxation of cessation of movement restrictions and weather conditions that are conducive for crop growth.

October 12, 2020

RECOMMENDATION:

10- Year FXD1/2011/20:

Bid 11.95% to 12.10%

22-Year FXD1/2018/25:

Bid 13.40% to 13.60%

Period of Sale: 28/09/2020 to 13/10/2020.

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B+ (negative)

CPI:
(2019=100):
108.57

September Inflation:
4.20%

Interbank rate (09th October 2020): 2.04%

C.B.R (29th September 20): 7.00%

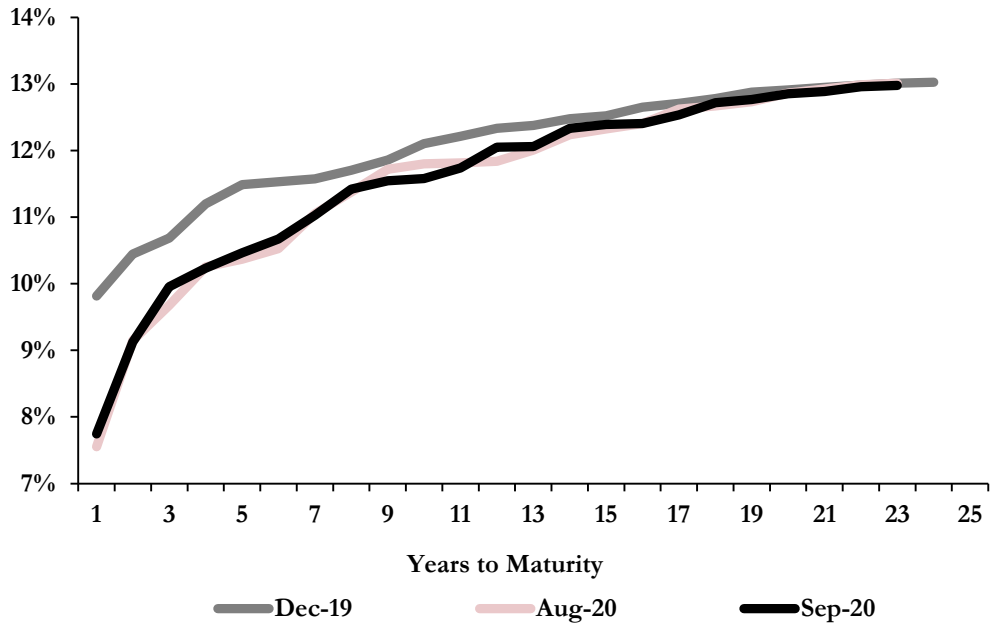
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Interbank

The money market remained relatively liquid during the month. The interbank steadily decreased from 2.67% on 8th September to 2.04% as of the 9th of October. An indicator of reduced liquidity in the market.

Over the month, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank Rate at 7.00% with the monetary authority noting that the rate is serving the purpose of cushioning Kenyans against the unprecedented fallout caused by the coronavirus outbreak.

NSE Yield Curve



In September, the yield curve remained relatively unchanged.

We expect the yield curve to steepen as short-term rates are likely to decline. In the current environment of increased investor uncertainty, demand for short-term papers is likely to increase thereby pushing short-term rates lower.

Currency:

The Kenya Shilling (KES) depreciated against the greenback over the month of August as it lost **0.27%**. On the 31st of August, the KES closed at a value of KES **108.2088/$** versus the KES **108.4971/$** witnessed at the end of September. The depreciation of the Kenya shilling occurred even as the dollar weakened against global currencies. The KES depreciation may therefore be attributed to an increase in local demand for the dollar as economies reopen and importers gear up to resume business.

CBK's usable foreign exchange reserve decreased to **USD 8.63 million** from **USD 8.96 million** at the end of August, representing a decrease to **5.23** months of import cover from **5.4** months of import cover. The reserves are still sufficient as they remain above the statutory requirements of four months of import cover.

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